

is still in the promotional stage, all an investor or anyone else can do is look at a blueprint and guess what the problems and the strong points may be. This is a much more difficult thing to do. It allows a much greater probability of error in the conclusions reached.

Actually, it is so difficult to do that no matter how skillful the investor, it makes it impossible to obtain even a fraction of the “batting average” for selecting outstanding companies that can be attained if judgment is confined to established operations. All too often, young promotional companies are dominated by one or two individuals who have great talent for certain phases of business procedure but are lack-ing in other equally essential talents. They may be superb salesmen but lack other types of business ability. More often they are inventors or production men, totally unaware that even the best products need skillful marketing as well as manufacture. The investor is seldom in a position to convince such individuals of the skills missing in themselves or their young organizations. Usually he is even less in a position to point out to such individuals where such talents may be found.

For these reasons, no matter how appealing promotional companies may seem at first glance, I believe their financing should always be left to specialized groups. Such groups have management talent available to bolster up weak spots as unfolding operations uncover them. Those who are not in a position to supply such talent and to convince new managements of the need of taking advantage of such help will find invest-ing in promotional companies largely a disillusioning experience. There are enough spectacular opportunities among established companies that ordinary individual investors should make it a rule never to buy into a promotional enterprise, no matter how attractive it may appear to be.

2. Don't ignore a good stock just because it is traded “over the counter.”

The attractiveness of unlisted stocks versus those listed on a stock exchange is closely related to the marketability of one group as against the other. Everyone should recognize the importance of marketability. Normally, most if not all buying should be confined to stocks which can be sold should a reason—either financial or personal—arise for such selling. However, some confusion seems to exist in the minds of investors as to what gives adequate